

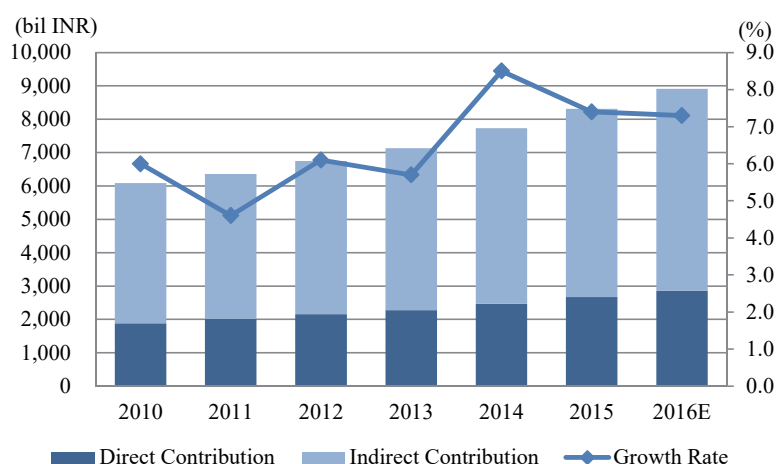
CHAPTER 3. POLICY OF THE GOVERNMENT OF INDIA

3.1. Government Policy for Tourism Development and Promotion of MICE Business

3.1.1. Policy for Tourism Development in India

The Travel & Tourism sector holds strategic importance in the Indian economy providing substantial socio-economic benefits. Moreover, through its direct economic impacts such as accommodation services, food & beverage services, retail trade and transportation services, the sector has significant indirect and induced impacts such as travel & tourism investment, government collective travel & tourism investment and consumption of direct and indirect employees.

India has been witnessing steady growth in its travel and tourism sector over the past few years. The total contribution of Travel & Tourism to GDP in India was INR 8,309.4 billion (7.4% of GDP) in 2015, and was forecasted to rise to INR 8,913.6 billion (7.3% of GDP) in 2016, with 6.5% CAGR (Compound Average Growth Rate) in the last seven years.



Source: Travel & Tourism Economic Impact 2016 in India – World Travel & Tourism Council

Figure 3.1.1 Travel & Tourism's Contribution to GDP and Its Growth Rate

This contribution share to GDP (7.4% in 2015) is relatively low compared to other countries in the Asia-Pacific region, such as 29.9% in Cambodia and 20.8% in Thailand. It is even below the world average of 9.8% and Asia-Pacific average of 8.5%. The total contribution to employment in 2015 showed 8.7% in India, which is also below the world average of 9.5% and slightly higher than Asia-Pacific average of 8.6%. This shows the possibility that India's Travel & Tourism sector can expand its contribution to GDP.

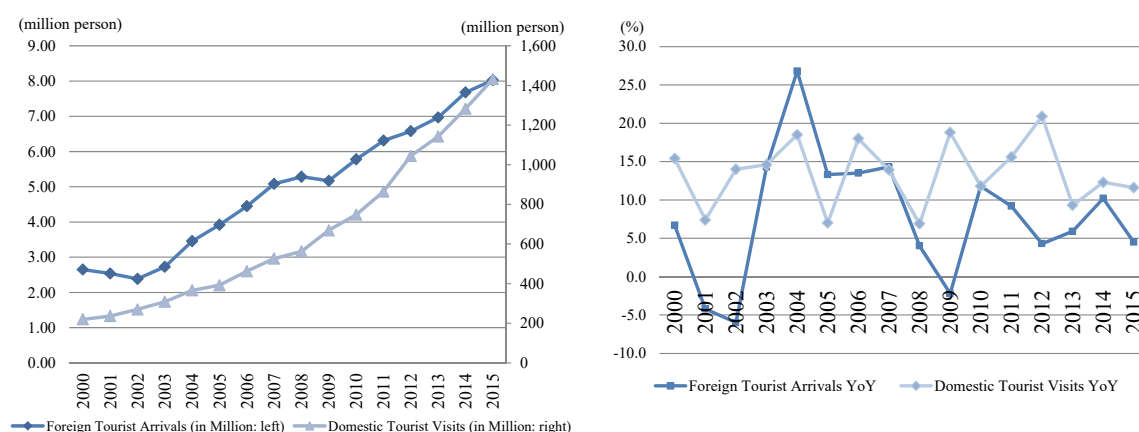
Table 3.1.1 Travel & Tourism's Total Contribution to GDP (left) and Total Contribution to Employment (right) in Asia Pacific (2015 % Share)

No.	Country	% share	No.	Country	% share
1	Cambodia	29.9	1	Cambodia	26.9
2	Thailand	20.8	2	Thailand	15.4
3	Vietnam	13.9	3	Malaysia	11.4
4	Malaysia	13.1	4	Vietnam	11.2
5	Sri Lanka	10.6	5	Sri Lanka	9.7
6	Indonesia	9.6	6	India	8.7
7	China	7.9	7	Indonesia	8.7
8	Pakistan	7.0	8	China	8.4
9	India	6.3	9	Pakistan	6.2
10	Bangladesh	4.7	10	Bangladesh	4.1

Source: Travel & Tourism Economic Impact 2016 in India – World Travel & Tourism Council

The total number of FTA (Foreign Tourist Arrivals) as well as DTV (Domestic Tourist Visits) has increased at the CAGR of 13.9% for the past 10 years. The number of tourists has increased from 466.89 million in 2006 to 1,440.00 million in 2015. The CAGR of FTA is 7.6%, which is higher than the CAGR of DTV 13.9%. The number of FTA in 2015 (8.03 million) was only 0.56% of the total tourist visits in India.

While the growth rates of DTV have been stable, the growth rates of FTA have fluctuated being affected by the world economic trends; i.e., it recorded negative growth in 2002 and 2009 during the global economic crisis.



Source: Annual Report 2015-16, Ministry of Tourism, GOI

Figure 3.1.2 Foreign Tourist Arrivals and Domestic Tourist Visits (left) and their Annual Growth (right) from 2000 to 2015

3.1.2. Promotion of MICE in India

(1) MICE Industry in India

The business tourism has gained importance in the international tourism market. Promoting MICE (Meetings, Incentives, Conferences and Exhibitions) would generate higher spending, reduce

seasonality, and enhance innovation and creation. Spill-over effects to other sectors would be expected by attracting conferences to the country.

The Ministry of Tourism, GOI, (hereinafter referred to as “MOT”) considers MICE as one of the initiatives of identifying, diversifying, developing and promoting niche products of the country. Medical and wellness tourism, eco-tourism and sustainable tourism are also identified as niche tourism products.

The draft national tourism policy 2015 laid strong emphasis on MICE Tourism by maximizing synergies between leisure and MICE Tourism. This aims to provide for pre and post leisure for MICE visitors motivating them to visit nearby locations.

According to the latest ICCA (International Congress and Convention Association) Statistics Report, more than 12,000 large scale meetings have been organized in all countries across the world and 2,546 meetings in Asia Pacific & Middle East in 2015. As per the report, India ranks in the 31st position in the world and 7th in Asia Pacific & Middle East.

Table 3.1.2 The Ranking of Meetings Organized in the World and Asia Pacific & Middle East in 2015

World Ranking			Asia Pacific & Middle East Ranking		
No.	Country	# Meetings	No.	Country	# Meetings
1	USA	925	1	Japan	355
2	Germany	667	2	China	333
3	UK	582	3	Korea	267
4	Spain	572	4	Australia	247
5	France	522	5	Singapore	156
6	Italy	504	6	Thailand	151
7	Japan	355	7	India	132
8	China	333	8	Taiwan	124
9	Netherland	333	9	Malaysia	113
10	Canada	308	10	Hong Kong	112
	Others	6,977		Others	556
	Total	12,078		Total	2,546

Source: 2015 ICCA Statistics Report

(2) ICPB (India Convention Promotion Bureau)

MOT of GOI has taken several initiatives to promote the MICE industry in India. The ICPB (India Convention Promotion Bureau) was established in 1988, a non-profit organization, with members comprising national airlines, hotels, travel agents, tour operators, tourist transport operators, conference organizers, etc. for promoting India more effectively as a convention destination.

The objectives of ICPB are:

- To promote India as a venue for International Congresses and Conventions.
- To undertake a continuing program of creating awareness of the role and benefits of Congresses and Conventions in the context of national objectives.
- To undertake research on the international conference market for development of India's conference industry

- To spread knowledge to conference industry personnel through educational programs, seminars, group discussions, courses of study and exchange of visits with Indian Associations / Organizations

ICPB recognizes the challenge that exists in the form of a lack of research on the size of the MICE industry in India such as its growth, trends and outlook. It is planning to develop MICE infrastructure by commissioning a research on the industry in 2017.

(3) MDA (Market Development Assistance)

MOT has announced the “MDA (Market Development Assistance) Scheme” to “Active Members” of ICPB to aid in bidding for International Conferences / Conventions, thereby bringing more MICE business to the country. Under the scheme, associations / societies would be given financial support on winning the bid or for obtaining second and third positions in the bidding process, subject to the terms and conditions. The financial assistance under the scheme is shown in the following table:

Table 3.1.3 Financial Assistance of MDA

Category I (500 pax and above):	
i)	INR 450,000 for winner of the bid for a Conference/Convention in India of 500 pax and above.
ii)	INR 150,000 for the bidder who comes in at second or third position among the bidders for Conference/Convention of 500 pax and above.
Category II (200 – 500 pax):	
i)	INR 250,000 for winner of the bid for holding the Conference/Convention in India of 200 to 500 pax.
ii)	INR 100,000 for bidder who comes in at second or third position for Conference/Convention in India of 200 and 500 pax.

Source: MOT

(4) Harmonized Master List of Infrastructure Sub Sectors

The Ministry of Finance, GOI on 7th October, 2013 publicized the Harmonized Master List of Infrastructure Sub-Sectors to boost supply of hotel rooms and convention centres in the country. Hotels with project cost of more than INR 2 billion and convention centres with project cost of more than INR 3 billion have become eligible for VGF (Viability Gap Funding) and lower interest rates on government bank loans. Hotels and convention centres have become recognized as important infrastructure in addition to transport, energy, water sanitation and communication.

3.2. Tourism Policy and MICE Promotion in Uttar Pradesh State

3.2.1. Tourism Development in Uttar Pradesh State

(1) Tourism Development in Uttar Pradesh State

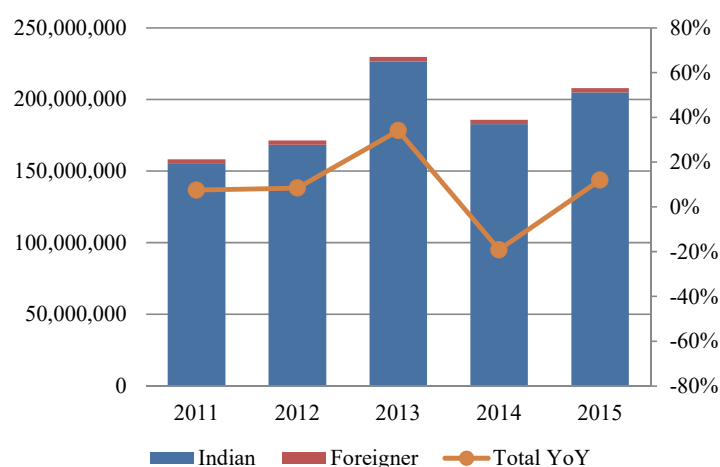
Located in the northern part of India, neighbouring the capital of India, New Delhi, Uttar Pradesh is one of the most popular and an established tourist destinations for Indians and non-Indians. Uttar Pradesh is known for its rich culture and tradition. Agra is famous for monuments such as the Taj Mahal. Varanasi and Allahabad are holy cities for Hindus, and Sarnath is important for Buddhists.

The state of Uttar Pradesh ranked second in DTV (Domestic Tourist Visit) and third in FTA (Foreign Tourist Arrival) in 2015. The total number of tourists recorded 207 million in 2015, of which FTA was only 1.5%. The CAGR of the total number of tourists in the past five years recorded 8.55%. The growth rate of tourist arrival in 2014 recorded ▲19.2%, this is due to Maha Kumbh Mela, a big Hindi festival in Allahabad in 2013. That festival is held once in every 12 years and attracted approximately 120 million people in 2013 over a two-month period. Even without considering the special factor of the festival, the number of tourists shows positive growth.

Table 3.2.1 Share of Top 10 States of India in Number of DTV and FTA in 2015

Domestic			Foreign		
No.	State	Number	No.	State	Number
1	Tamil Nadu	333,459,047	1	Tamil Nadu	4,684,707
2	Uttar Pradesh	204,888,457	2	Maharashtra	4,408,916
3	Andhra Pradesh	121,591,054	3	Uttar Pradesh	3,104,062
4	Karnataka	119,863,942	4	Delhi	2,379,169
5	Maharashtra	103,403,934	5	West Bengal	1,489,500
6	Telangana	94,516,316	6	Rajasthan	1,475,311
7	Madhya Pradesh	77,975,738	7	Kerala	977,479
8	West Bengal	70,193,450	8	Bihar	923,737
9	Gujarat	36,288,463	9	Karnataka	636,502
10	Rajasthan	35,187,573	10	Goa	541,480
	Others	234,605,820		Others	2,705,300
	Total	1,431,973,794		Total	23,326,163

Source: MOT



Source: Department of Tourism, Uttar Pradesh

Figure 3.2.1 The Growth Trends of Tourists in Uttar Pradesh

(2) Heritage Arc

To boost tourism in the state, the Uttar Pradesh government has established a “Heritage Arc” in 2014 covering the cities of Agra, Lucknow and Varanasi, the three most important tourist destinations. The government expressed its intent to improve infrastructure including roads, pathways and condition of monuments to attract tourists to promote the “Heritage Arc”.



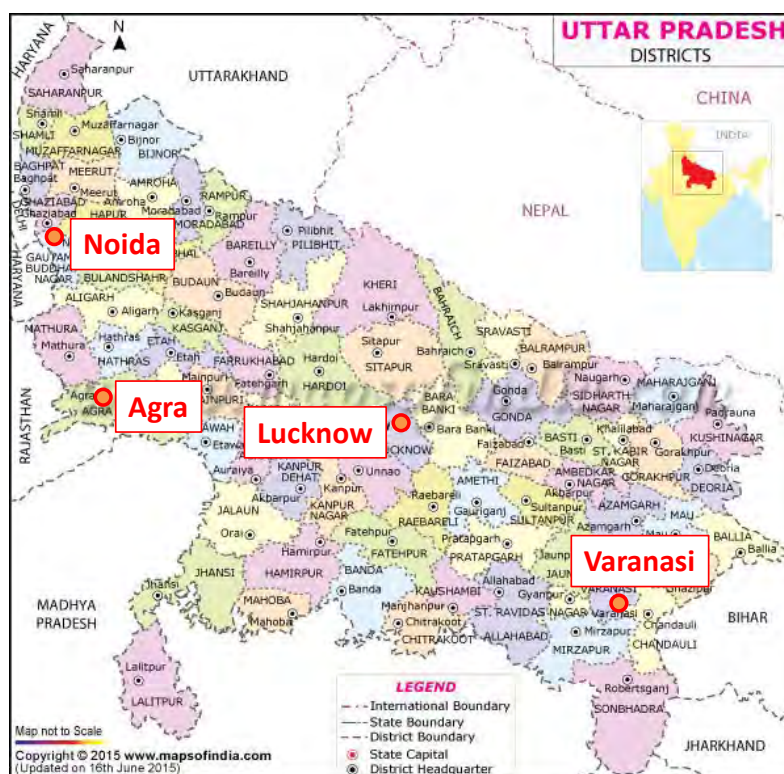
Source: Department of Tourism, Uttar Pradesh

Figure 3.2.2 The Heritage Arc

3.2.2. Promotion of MICE in Uttar Pradesh

The **Uttar Pradesh State Tourism Policy 2016** recognizes the importance of MICE Tourism as an engine to drive growth. The cities of Noida, Agra, Lucknow and Varanasi have been identified for promoting MICE in the state. The department of tourism will take the following initiatives-

- i. In collaboration with private entrepreneurs, Convention centres will be established for trade fairs, seminars, exhibitions etc. in Noida, Agra, Lucknow and Varanasi which are ideal tourism centres for MICE tourism in Uttar Pradesh
- ii. Private entrepreneurs will be provided land on a high priority to invest in Conventions
- iii. The new Convention Centres being constructed will be provided rebates in taxes for the first five years of business
- iv. The MICE facilities in the state will be widely promoted and publicized



Source: JST

Figure 3.2.3 Locations of Cities for MICE Promotion

3.3. Tourism Policy and MICE Promotion in Varanasi City

3.3.1. Tourism Development in Varanasi City

Varanasi is a city on the banks of the Ganges in Uttar Pradesh, the sacred city in Hinduism and Jainism, and it also plays an important role in the development of Buddhism. Sarnath, 10km from Varanasi, is one of the most revered Buddhist pilgrimage centres. Since visitors of Sarnath visit Varanasi for accommodation, the number of tourists in Varanasi and Sarnath can be combined.

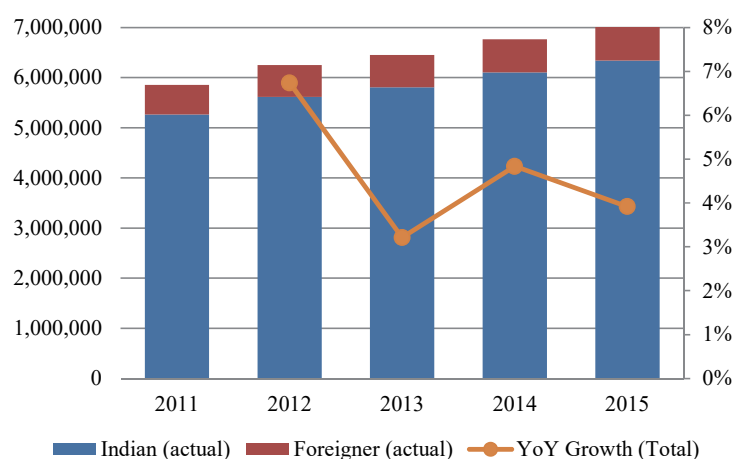
Varanasi/ Sarnath ranks eighth in DTV (Domestic Tourist Visit) and third in FTA (Foreign Tourist Arrival) in UP state in 2015. Although the destinations of DTV have been diverse across various cities in UP state, 65% of FTA has been concentrated in the top three cities: Agra, Sarnath and Varanasi (the share of Sarnath and Varanasi is 22%).

The total number of tourists in Varanasi/ Sarnath recorded 7.0 million in 2015, of which FTA was 9.8%, which is higher than the entire UP state. The CAGR of the total number of tourists in the past five years recorded 4.7%, but the growth rate has decreased over the years due to the insufficient initiatives taken to improve the existing tourism infrastructure.

Table 3.3.1 Share of Top 10 Cities in UP State in Number of DTV and FTA in 2015

Domestic			Foreign		
No.	State	Number	No.	State	Number
1	Allahabad	40,001,670	1	Agra	1,346,765
2	Ayodhya	15,432,558	2	Varanasi/Sarnath	690,472
3	Vrindavan	12,600,000	3	Fatehpur Sikri	199,279
4	Govardhan	12,050,000	4	Jhansi	125,596
5	Agra	9,466,670	5	Allahabad	109,281
6	Mathura	6,626,000	6	Shravasti	100,070
7	Varanasi/Sarnath	6,338,552	7	Kusinagar	68,830
8	Chitrakut	5,872,519	8	Lucknow	58,014
9	Soraun	5,200,000	9	Vrindavan	47,890
10	Radhakund	4,560,000	10	Gorakhpur	35,462
	Others	86,740,488		Others	322,403
	Total	204,888,457		Total	3,104,062

Source: Department of Tourism, Uttar Pradesh

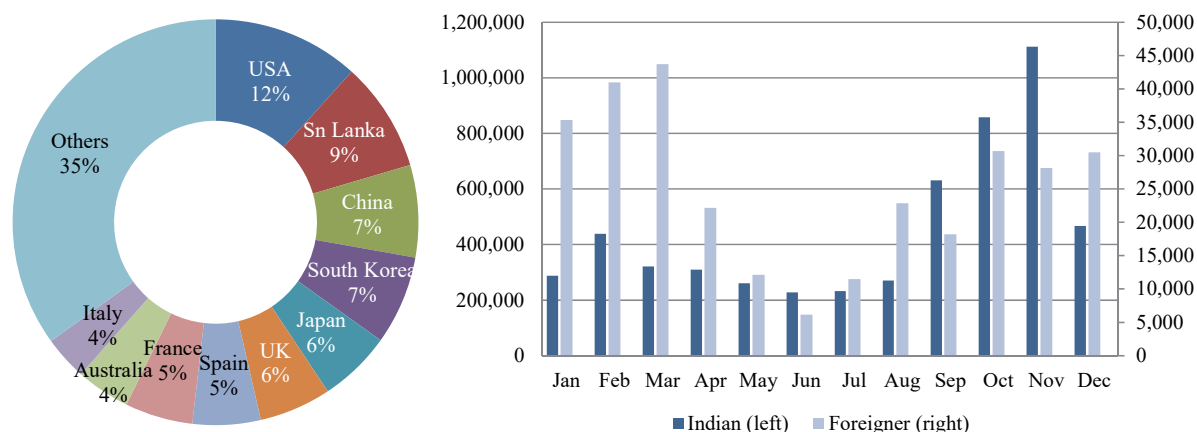


Source: Department of Tourism, Uttar Pradesh

Figure 3.3.1 The Growth Trends of Tourists in Varanasi/ Sarnath

The majority of the FTA in Varanasi/ Sarnath is from the US, Europe and Japan, and there is a growing number of tourists from South Asia and Southeast Asian countries such as Sri Lanka, China and Korea.

The DTA is concentrated between September and November; on the other hand, the FTA is concentrated between January and March. The overall peak season falls between October and March, and the other months are the lean season.



Source: Department of Tourism, Uttar Pradesh

Figure 3.3.2 The Share of Nationality in FTA (left) and the Monthly Trend of DTV and FTA (right) in 2015

3.3.2. MICE Policy in City Level

In the City Development Plan (CDP) for Varanasi 2041 that was drafted under the Capacity Building for Urban Development project (CBUD), the establishment of a convention centre has been proposed. The CBUD project was a joint partnership program between MOUD and the World Bank. In the report, under the ‘Local Economic Development Sector Strategy’, the need for a Convention centre was mentioned, which included provision for development of indoor exhibition areas, conference halls and accommodation units with services, at an estimated cost of INR 250 million.

3.3.3. Varanasi City of Music

The Department of Tourism, Uttar Pradesh has organized and promoted cultural events to boost tourism in Varanasi. The following list shows the major cultural events, including classical music and performances to be held in Varanasi in 2017.

Table 3.3.2 Cultural Events in Varanasi (2017)

Cultural Event	Date	Cultural Event	Date
Ganga Mohotsav	31 Oct - 03 Nov	Ramleela Ramnagar	5 Sep – 5 Oct
‘Sur Ganga’ Music Festival	18 Apr - 30 May	Sankat Mochan Music Festival	15 – 20 Apr
Dhrupad Mela	21 – 24 Feb	Naag Nathaiya	23 Oct
Buddha Poornima	10 May	Ganga Dushehra	3 June

Source: Department of Tourism, Uttar Pradesh

The protection and promotion of Varanasi’s music has been supported for centuries, and the number of active music companies in music sector has significantly increased to 3001. Such activities have led to an award of UNESCO’s ‘Cities of Music’ category under the Creative Cities Network in December 2015. To celebrate Varanasi’s ‘City of Music’ heritage, a carnival of music, ‘Sur Ganga’ will be held in Varanasi from April 18 to May 30 in 2017. The objectives of the event are to promote Indian music

¹ <http://en.unesco.org/creative-cities/varanasi>

among the youth in addition to promotion of tourism in the region, to promote mutual understanding among musicians and to share knowledge and experiences for music students.



Source: UNESCO Creative Cities – Varanasi

Figure 3.3.3 Music School and Music Event in Varanasi